

Fearnleys Dry Bulk Weekly

Jun 3, 2026



Capesize/Newcastlemax

The Cape180/Panamax82 ratio is close to 2.5, which in recent years has been a reliable near-term peak indicator for Capes.

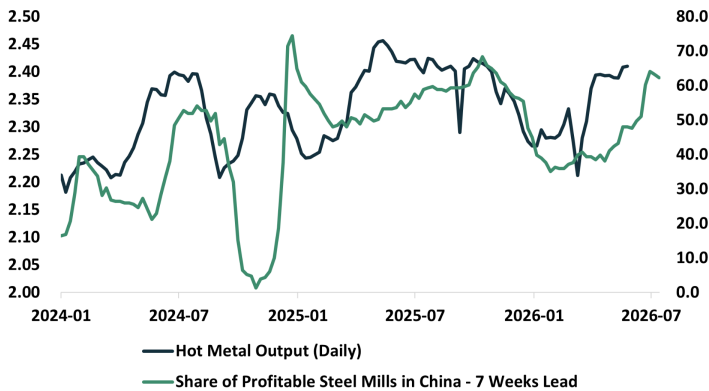
Top left chart: Blast furnace output in China remained at 2.41 mtpd last week. The share of profitable steel mills dipped slightly. Output will probably peak around current levels.

Top right chart: Shipment volumes were 6.2% higher than last year through week 22. Still strongly positive, but down from the peak earlier this year. Supply growth is at 1.5%.

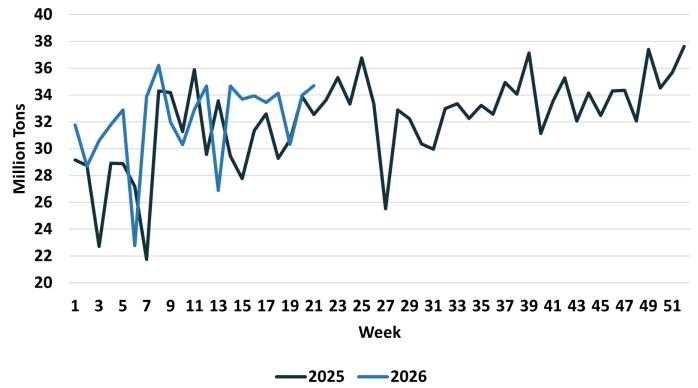
Bottom left chart: The SATI is still low, suggesting the market remains in toppish territory. Normally, the market sees a more pronounced correction following such low readings at seen of the SATI in the last month. Fundamentals are strong, and sailing speeds are a bit lower than what is usually the case in such strong markets.

Bottom right chart: The laden/ballast ratio fell slightly in the last week. It remains above the long-term average but is far from an extreme. The VLOC laden/ballast ratio is getting quite high, which could indicate a near-term market peak for Capes/Newcs.

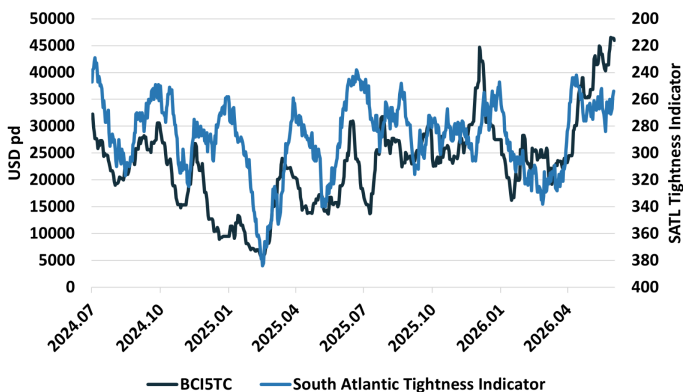
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



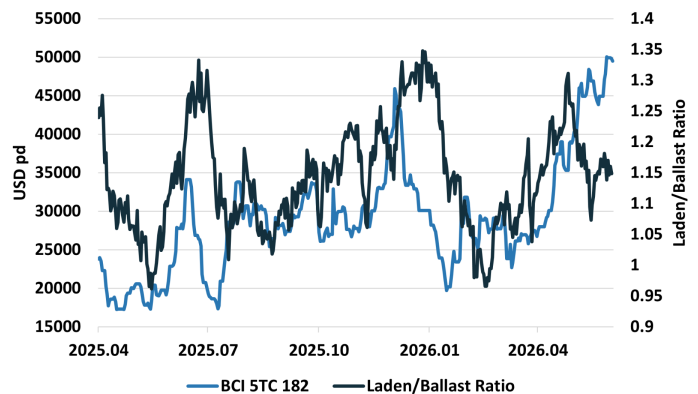
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

The below indicators continue to suggest bearishness in the near-term.

Top left chart: Shipment volumes were up 5.2% year on year through week 22, increasing from the last week's rate of slightly under 5%. Supply growth is slightly over 4% year on year, up slightly from earlier this year.

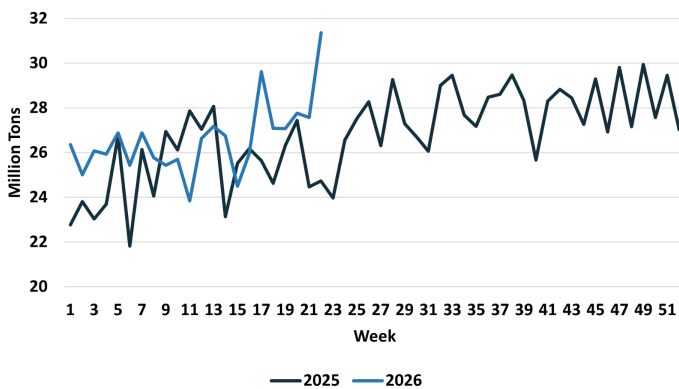
Top right chart: The coal futures curve contango decreased over the last week, but the correlation still suggests P5 will soften going forward. China's import market will determine a lot about summer coal demand. Forecasts are currently for lots of rain, which could be bearish for coal due to increased hydropower generation. However, some analysts are saying the risk of flooding is significant, which would render hydropower less reliable and could therefore be bullish for coal.

Such near-term factors aside, the big picture is that global coal demand is bullish. No solution to the Hormuz Strait issue seems close.

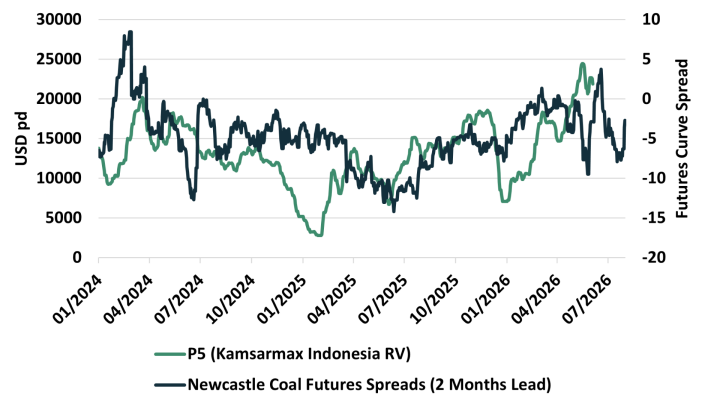
Bottom left chart: The Pacific tightness indicator suggests the market will soften in the near-term.

Bottom right chart: The SATL tightness indicator suggests the market will soften in the near-term.

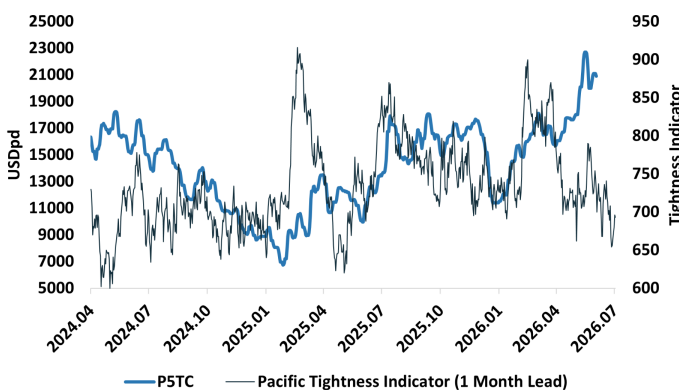
Weekly Shipment Volumes



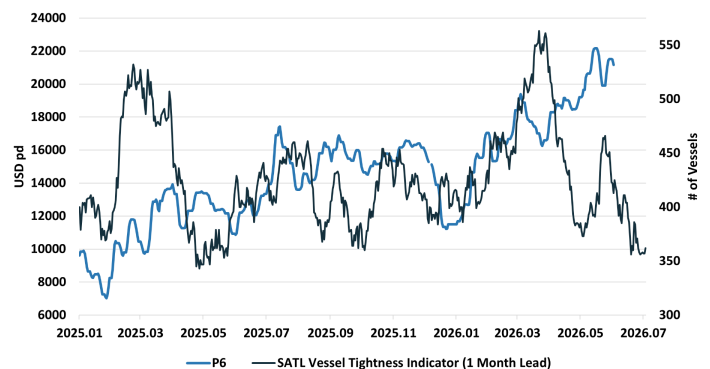
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

Industrial metals prices have recovered strongly from the lows earlier this year. The correlations are starting to suggest renewed upside momentum for the Supra/Ultra market.

However, supply shortages and/or buying in anticipation of supply shortages likely explains some of the upturn i.e. inventory building due to the Hormuz Strait closure.

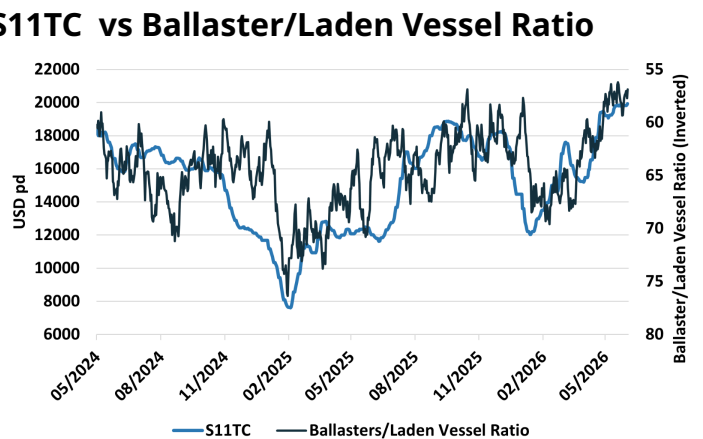
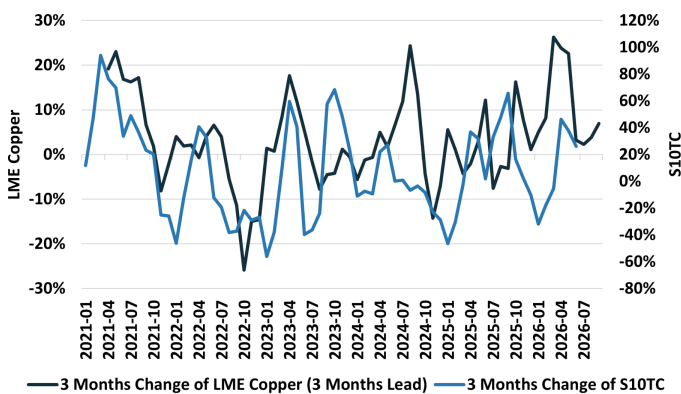
Top left chart: The three-month change in the price of copper seems to have correctly anticipated peak upward momentum of the Supra/Ultra indices last month. Going forward, the suggestion is for a sideways trending market, but increased potential for further upside in Q3.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

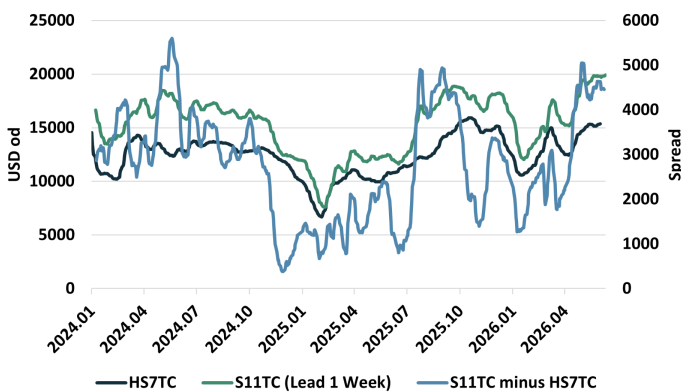
Bottom left chart: The Ultramax spread over the Handysize index is quite high, which usually means further upside is limited in the near-term.

Bottom right chart: Shipment volumes were up 5.2% year on year through week 22, decreasing a bit from the previous few weeks. Supply growth is at 5.2%. The gap has thus more or less closed. Increased shipment volumes in the Atlantic, replacing the loss of volumes from the Middle East, keep the market balance positive due to increased ton-miles. But this is likely on borrowed time, as cost pressures are mounting across global supply chains.

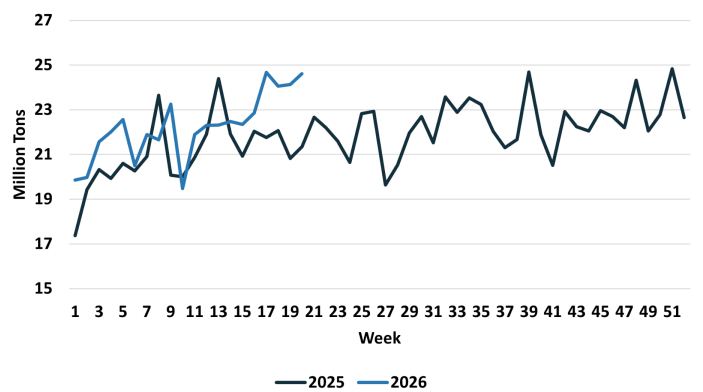
Copper Price 3 Months Change, 3 Months Lead S11TC vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes



Handysize

Like for Supras/Ultras, the continued increase in industrial metals prices suggests the market might keep climbing. However, the demand/supply gap is narrowing, with demand growth falling from over 4% yoy a few weeks ago to 3.5% through last week. The manufacturing PMIs released for May strongly suggested that the manufacturing cycle peak is behind us, as cost pressures mount and front-running potential supply shortages will eventually end.

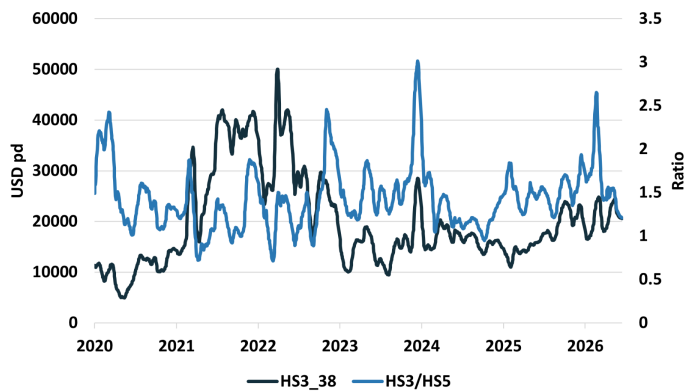
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom. The ratio got even lower over the last week, and suggests the route could be close to bottoming.

Top right chart: Through week 22, Handysize shipment volumes were 3.5% higher year on year, decreasing from over 4% earlier this year. Supply growth is under 3% so fundamentals remains positive, but the gap is narrowing.

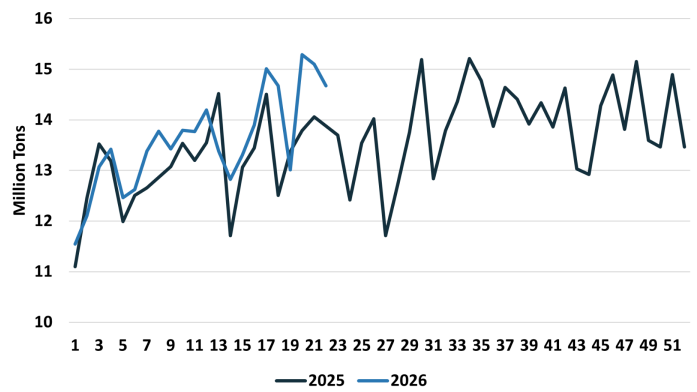
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

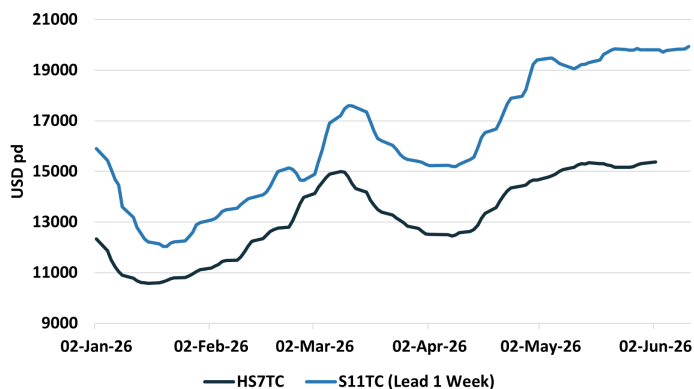
HS3 vs Ratio of HS3 and HS5



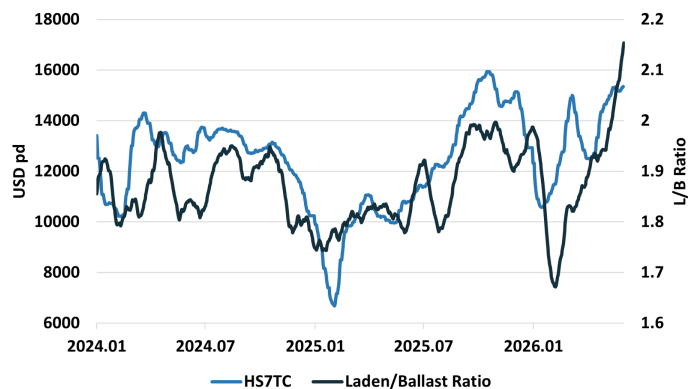
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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